

香港中學文憑考試

Hong Kong Diploma of Secondary Education Examination

Economics

2024 Question Papers

(with marking schemes and comments on candidates' performance)



香港考試及評核局
Hong Kong
Examinations and
Assessment Authority

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Introduction

This publication provides a comprehensive report on the Economics examination in the 2024 Hong Kong Diploma of Secondary Education Examination. It covers various aspects of the examination, including the objectives, contents and format of the examination, the question papers, the marking schemes, and the chief examiners' comments on candidates' performance in the live examination. Some statistics are also included.

Through this publication, we hope to provide useful information and feedback to assist teachers in their teaching of the subject and students in their learning. Similar publications are also available for other subjects in the 2024 HKDSE. Besides, a series of publications and resource materials related to the HKDSE are also available for reference to schools, candidates and the public. These include information related to examination administration, assessment requirements, examination-related statistics and feedback provided to schools and other stakeholders. For details, please visit the Authority's website (http://www.hkeaa.edu.hk/en/HKDSE/info_corner/hkdse_publications_materials/).

We would like to take this opportunity to express our gratitude to all the examination personnel who were involved in the development of question papers and the assessment of candidates' performance. Without their contributions, it would not have been possible for us to conduct the examination smoothly.

The Examination

Assessment Objectives

The objectives of this assessment are to evaluate students' abilities and achievements in the following:

1. to know and understand fundamental economic concepts and theories;
2. to apply such concepts and theories to explain real world situations, especially the Hong Kong economy;
3. to understand and interpret economic information presented in various forms;
4. to acquire the basic tools of economic analysis;
5. to analyze economic issues;
6. to evaluate arguments, proposals and policies from different perspectives and make informed judgments; and
7. to present ideas clearly, and in a well-reasoned manner, illustrating answers with diagrams and examples.

Synopsis of curriculum contents

For details, please refer to the Economics Curriculum and Assessment Guide (Secondary 4 to 6) jointly prepared by the Curriculum Development Council and the Hong Kong Examinations and Assessment Authority.

Compulsory Part

1. Basic Economic Concepts
2. Firms and Production
3. Market and Price
4. Competition and Market Structure
5. Efficiency, Equity and the Role of Government
6. Measurement of Economic Performance
7. National Income Determination and Price Level
8. Money and Banking
9. Macroeconomic Problems and Policies
10. International Trade and Finance

Elective Part

Elective Part 1: Monopoly Pricing, Anti-competitive Behaviours and Competition Policy; OR
Elective Part 2: Extension of Trade Theory, Economic Growth and Development

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HONG KONG EXAMINATIONS AND ASSESSMENT AUTHORITY
HONG KONG DIPLOMA OF SECONDARY EDUCATION EXAMINATION 2024

ECONOMICS PAPER 1

8.30 am – 9.30 am (1 hour)

INSTRUCTIONS

1. Read carefully the instructions on the Answer Sheet. After the announcement of the start of the examination, you should first stick a barcode label and insert the information required in the spaces provided. No extra time will be given for sticking on the barcode label after the 'Time is up' announcement.
2. When told to open this book, you should check that all the questions are there. Look for the words '**END OF PAPER**' after the last question.
3. All questions carry equal marks.
4. **ANSWER ALL QUESTIONS.** You are advised to use an HB pencil to mark all the answers on the Answer Sheet, so that wrong marks can be completely erased with a clean rubber. You must mark the answers clearly; otherwise you will lose marks if the answers cannot be captured.
5. You should mark only **ONE** answer for each question. If you mark more than one answer, you will receive **NO MARKS** for that question.
6. No marks will be deducted for wrong answers.

Not to be taken away before the
end of the examination session

There are 45 questions in this paper. Choose the **BEST** answer for each question.

1. Mr Chan lives in his own apartment which is worth \$8 000 000. He can sell the apartment and deposit the \$8 000 000 in a bank at an interest rate of 5% per year. He can also rent out the apartment at \$25 000 a month.

Based on the above information, which of the following statements are correct?

- (1) When the market value of his apartment increases, the opportunity cost for Mr Chan to live in his own apartment will not be affected.
- (2) When the deposit interest rate increases, the opportunity cost for Mr Chan to live in his own apartment will increase.
- (3) When the rental value of his apartment increases, the opportunity cost for Mr Chan to live in his own apartment may increase.

- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2. Which of the following situations imply the existence of scarcity?

- (1) People need to choose between two options.
- (2) People can obtain what they want by paying the market price.
- (3) People cannot obtain what they want even after queuing up for hours.

- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

3. Which of the following statements about seawater is correct?

- A. Seawater is a capital good when fishermen use it to keep their catches alive.
B. Seawater is a public good as the government provides it to the public for flushing the toilets.
C. Seawater is a free good as people can obtain seawater free of charge.
D. Seawater is an inferior good as no one drinks seawater.

4. When private property rights are weakened, _____.

- (1) resources are less likely to be allocated to their highest-valued use
- (2) income derived from assets is likely to decrease
- (3) non-price competition is more likely to arise

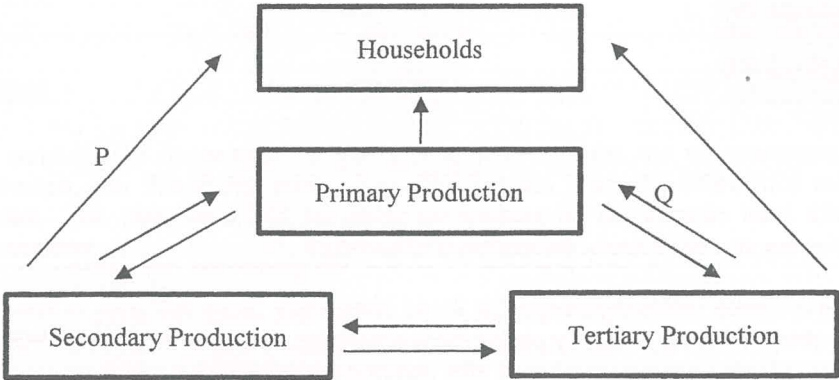
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

5. ABC Studio Limited is a video production company in Hong Kong. Its financial status is not required to be disclosed to the general public by law.

Which of the following statements about the company is correct?

- A. The admission of new shareholders does not require a consent from existing shareholders.
- B. The company can own assets under its name.
- C. The company may raise capital by issuing bonds to the general public.
- D. There is no upper limit on the number of shareholders.

6. Refer to the following diagram.



What do P and Q stand for respectively?

- A. consumer goods; services
- B. consumer goods; raw materials
- C. producer goods; services
- D. producer goods; raw materials

7. A supermarket chain located in Japan took over a Japanese grocery chain in Hong Kong.

Which of the following is the **LEAST** likely motive of the above takeover?

- A. to enjoy economies of scale
- B. to spread its business risk through market diversification
- C. to utilise its resources more efficiently
- D. to ensure a steady supply of raw materials

8. The Hong Kong Government has implemented the ‘Top Talent Pass Scheme’ (「高端人才通行證計劃」) to attract foreign talents to work in Hong Kong. Successful applicants will be issued a two-year pass for exploring job opportunities in Hong Kong.

As a result of the implementation of the above scheme, _____.

- (1) Hong Kong’s labour supply will increase
- (2) geographical mobility of foreign talents will increase
- (3) average labour productivity of workers in Hong Kong will increase

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

9. Refer to the following information about a toy-making firm.

	Year 1	Year 2
Number of workers (persons)	250	300
Number of working hours per worker per day (hours)	8	9
Total output per day (units)	9 000	10 800

Which of the following are possible reasons for the above change in the average labour productivity of the toy-making firm?

- (1) The wage payment method of the firm is changed from time rate to piece rate.
- (2) The firm does not provide adequate training for new workers in Year 2.
- (3) The working environment of the firm is improved in Year 2.
- (4) The management of the firm becomes poorer in Year 2.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (4) only
- D. (3) and (4) only

10. The table below shows the production costs of a price-taking firm.

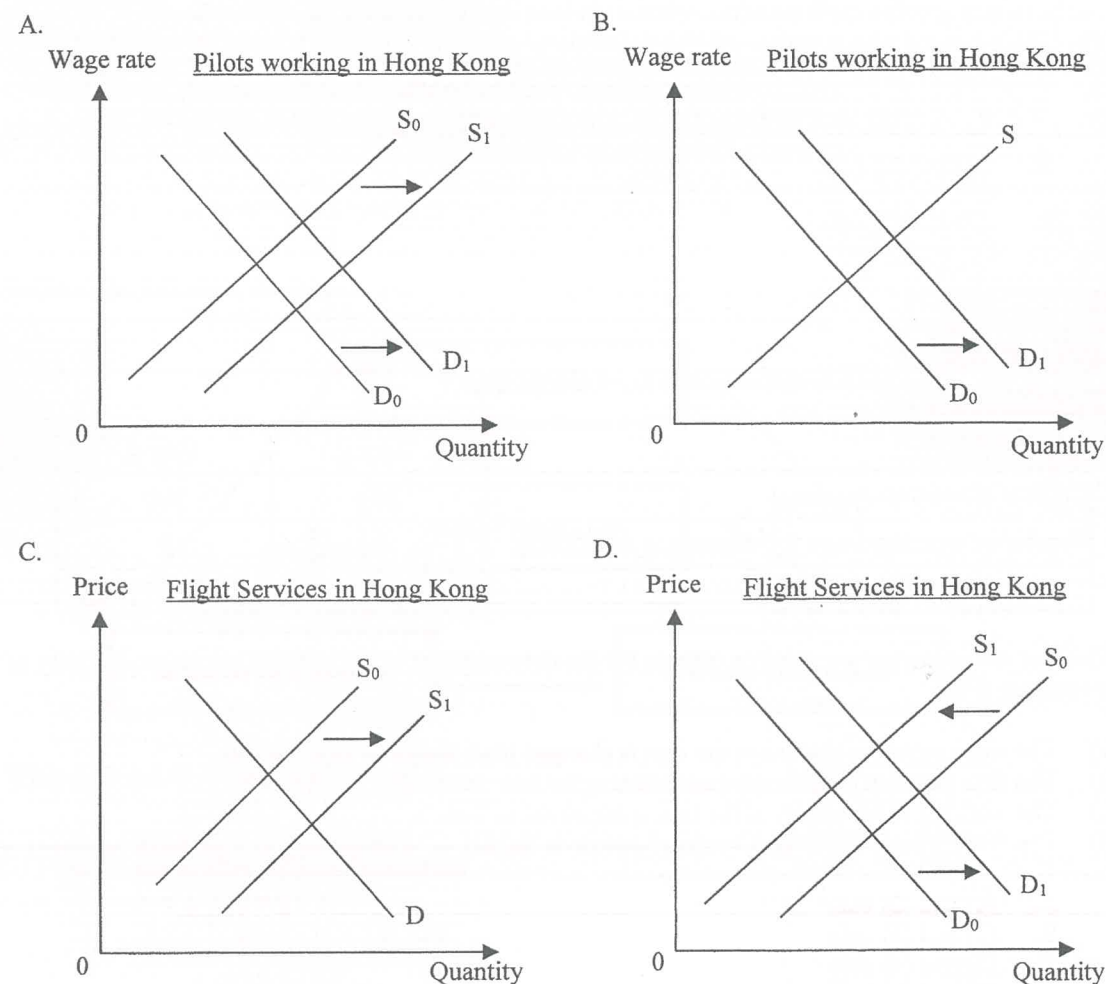
Total output (units)	Average cost (\$)
1	20
2	25
3	30
4	35

Suppose the fixed cost of the firm is \$5 and the product price is \$30. The firm’s maximum producer surplus is _____.

- A. \$0
- B. \$5
- C. \$10
- D. \$15

11. Suppose a campaign successfully attracted many pilots in Mainland cities to work in Hong Kong. Meanwhile, more and more Hong Kong people travel abroad for leisure.

Which of the following diagrams best illustrates the effects of the above events?



12. As part of the 'Happy Hong Kong' campaign, the 'Hong Kong Cinema Day' was held in April 2023, with tickets priced at HK\$30 across all participating cinemas. It was reported that many people failed to buy any discounted film ticket even after queuing up for hours.

From the information above, we can infer that the quantity transacted of the discounted film tickets is _____.

- equal to the quantity supplied and smaller than the quantity demanded
- equal to the quantity supplied and larger than the quantity demanded
- equal to the quantity demanded and smaller than the quantity supplied
- equal to the quantity demanded and larger than the quantity supplied

13. Suppose the government of an economy subsidises the manufacturing of air purifiers. As a result, the price of air purifiers decreases from \$1 200 to \$1 000 and the quantity transacted increases from 5 000 to 8 000 units. This indicates that within the price range, the price elasticity (in absolute value) of _____ is _____.

- demand greater than 1
- demand smaller than 1
- supply greater than 1
- supply smaller than 1

14. When the per-unit sales tax on Good X is halved, the government's tax revenue from Good X is also halved. One possible explanation is that _____.

- the supply of Good X is perfectly elastic
- the supply of Good X is perfectly inelastic
- the demand for Good X is perfectly elastic
- the demand for Good X is unitarily elastic

15. Suppose the government of an economy imposes an effective catch limit (quota) on Pacific bluefin tuna. If the catch limit is lowered, the marginal benefit of the last unit of Pacific bluefin tuna will _____ and consumers' total expenditure on Pacific bluefin tuna _____.

- increase will increase
- decrease will decrease
- increase may decrease or increase
- decrease may decrease or increase

16. Refer to the following market demand schedule of a good. The equilibrium price is \$20.

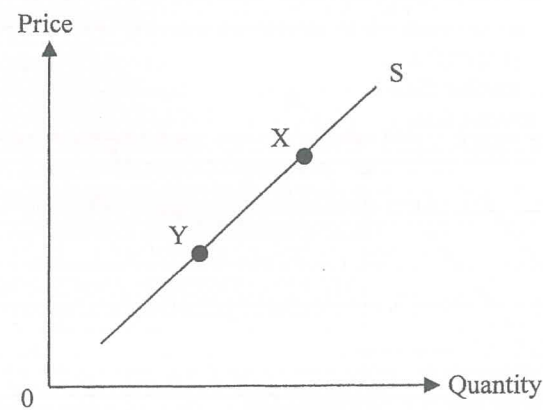
Unit price (\$)	10	15	20	25	30	35
Quantity demanded (units)	100	90	80	70	60	50

Suppose the government imposes a per-unit sales tax of \$10 on the good. At the same time, there is a decrease in the production cost of the good. As a result, the equilibrium price remains at \$20.

Based on the above information, we can conclude that _____.

- the consumers will not have any tax burden.
- producers' total revenue net of tax will be \$1 600.
- the deadweight loss caused by the imposition of the sales tax will disappear due to the decrease in the production cost.
- the government's tax revenue from the good will be \$800.

17. The following diagram shows the supply curve of taxi services.



Which of the following best explains the change in the equilibrium position from point X to point Y?

- A. The government lowers the taxi fares.
- B. The government provides subsidies for citizens to use railway services.
- C. The government reduces the quota on taxi licences.
- D. The government amends the law to punish providers of ride-sharing services such as Uber drivers.

18. Which of the following statements about perfect competition is **INCORRECT**?

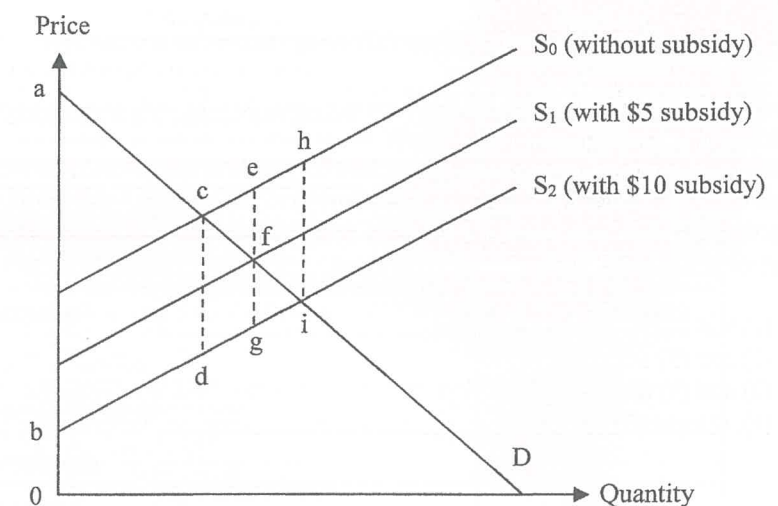
- A. The market price tends to be stable as no firm can affect the market price.
- B. Price is the only competitive criterion in determining the distribution of goods.
- C. The marginal cost of the last unit of all firms is equal when the firms maximise their profits.
- D. Firms sell homogeneous products.

19. Which of the following statements about overproduction is/are correct?

- (1) Overproduction of a good occurs when there is an excess supply of the good.
- (2) Overproduction does not occur whenever the market is at equilibrium.
- (3) When overproduction occurs, the marginal social cost is greater than the marginal social benefit at the last unit.

- A. (2) only
- B. (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

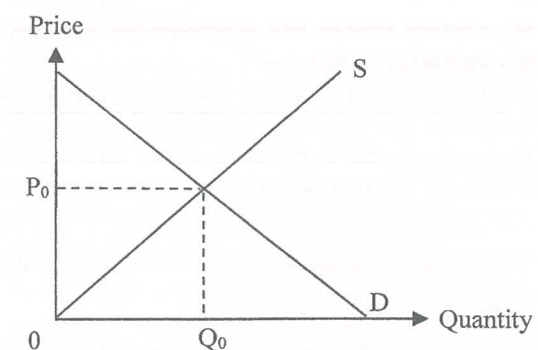
20. The following diagram shows the supply and demand curves of a good.



Suppose the government increases the per-unit subsidy from \$5 to \$10. Which of the following statements is correct?

- A. The new total social surplus is area aib.
- B. The new total social surplus is area acdb.
- C. The increase in deadweight loss is area ehif.
- D. The increase in deadweight loss is area cid.

21. The following is the demand-supply diagram of Good X. Initially the price of Good X is P_0 .



Which of the following situations may reduce the consumer surplus and create a deadweight loss in the market of Good X at the same time?

- (1) a decrease in the demand for Good X
- (2) the imposition of an effective price ceiling on Good X
- (3) the imposition of an effective price floor on Good X

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

22. In recent years, more and more people play videos loudly with their smartphones on public transport, disturbing other passengers.

Based on the above information, which of the following statements are correct?

- (1) Total social surplus may decrease if playing videos loudly with smartphones on public transport is banned by the government.

(2) Economic efficiency may improve if suppliers of public transportation services designate quiet zones in their vehicles where passengers are not allowed to play videos loudly with their smartphones.

(3) The divergence between private and social costs may decrease if people playing videos loudly with their smartphones on public transport are fined.

A. (1) and (2) only

B. (1) and (3) only

C. (2) and (3) only

D. (1), (2) and (3)

23. The table below shows the Gini coefficients by industry of an economy.

	Gini coefficient
Accommodation and food services	0.34
Finance and insurance	0.51

Which of the following are possible explanations for the above difference in the Gini coefficient?

- (1) The salaries of workers in the accommodation and food services industry are lower than that of professionals in the finance and insurance industry.

(2) Compared to professionals in the finance and insurance industry, the levels of human capital tend to be more homogeneous among workers in the accommodation and food services industry.

(3) The wage payment method for professionals in the finance and insurance industry is mostly basic salary plus commission while that for workers in the accommodation and food services industry is mostly time rate.

A. (1) and (2) only

B. (1) and (3) only

C. (2) and (3) only

D. (1), (2) and (3)

24. Refer to the following data of an economy.

Components	\$ million
Private consumption expenditure	100
Net domestic fixed capital formation	20
Government consumption expenditure	30
Change in inventories	- 5
Net export of goods	60
Re-exports	27
Import of services	80
Export of services	40
Depreciation	11
Indirect tax	18

The gross domestic product (GDP) at market price is \$ _____ million.

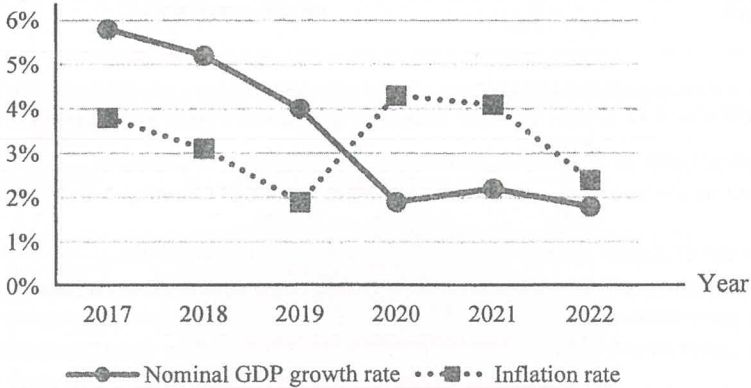
- A. 165

B. 176

C. 194

D. 203

25. The following diagram shows the nominal GDP growth rates and the inflation rates of an economy.



Based on the above information, we can conclude that from 2017 to 2022, _____ in the economy.

- (1) the real GDP increased in all consecutive years

(2) the price level increased in all consecutive years

(3) the nominal GDP growth rate was always higher than the real GDP growth rate

A. (1) and (2) only

B. (1) and (3) only

C. (2) and (3) only

D. (1), (2) and (3)

26. Suppose the unemployment rate of an economy is 5%. Which of the following situations would lead to a decrease in the unemployment rate of the economy?

- (1) Foreign workers are imported to fill the vacancies in various industries.
- (2) 96% of the new university graduates who enter the labour market are employed.
- (3) Some underemployed workers work for more hours.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

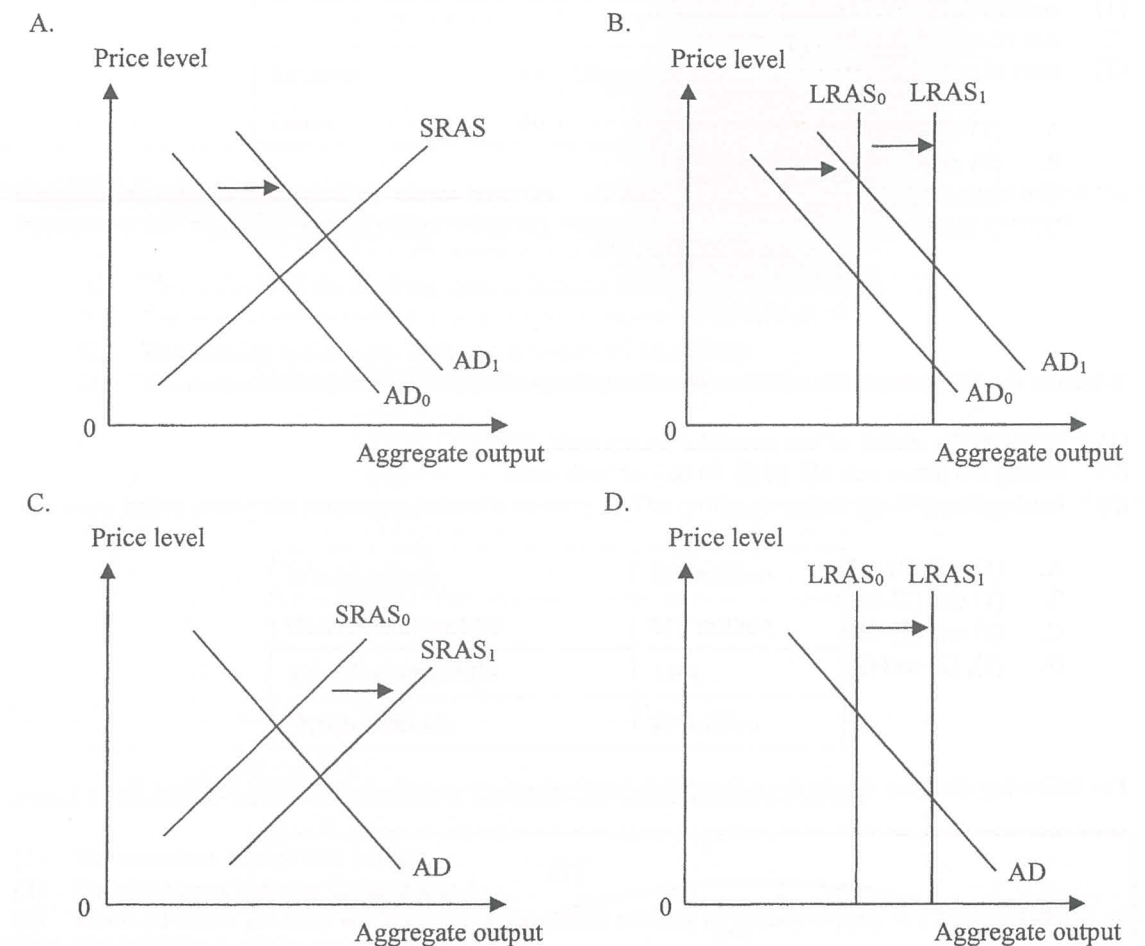
27. If there is an increase in the tax allowance of salaries tax, transactions demand for money will _____ and the equilibrium nominal interest rate will _____.

- A. increase increase
- B. increase decrease
- C. decrease increase
- D. decrease decrease

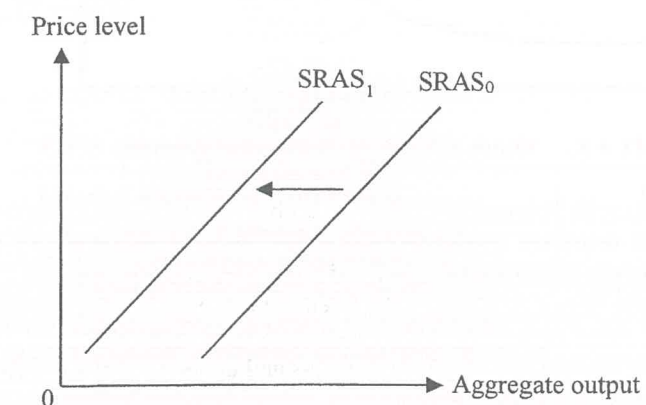
28. Suppose the central bank of Country A lowers the discount rate. Which of the following situations would weaken the effect of the above policy on the aggregate output of Country A in the short run?

- A. The use of digital money becomes more popular in Country A.
- B. Some major trading partners of Country A experience an economic recession.
- C. The government of Country A relaxes the restrictions on the importation of foreign workers.
- D. The government of Country A increases its investment on local infrastructure.

29. Suppose a large number of highly skilled foreign talents have been admitted to live and work in Hong Kong. Which of the following diagrams best illustrates the effects on Hong Kong's economy?



30. The following diagram shows the short run aggregate supply (SRAS) curves of a country.



Which of the following is a possible reason for the above shift of the SRAS curve from SRAS₀ to SRAS₁?

- A. The government of the country provides subsidies to the core technology industries.
- B. The currency of the country appreciates against that of its trading partners.
- C. A large-scale hill fire occurs in the country and leads to massive destruction of production facilities.
- D. The central bank of the country raises the money supply.

31. 9999 gold is better than diamond in performing the _____ function of money because the former has a higher _____.

- (1) medium of exchange divisibility
- (2) unit of account homogeneity
- (3) store of value portability

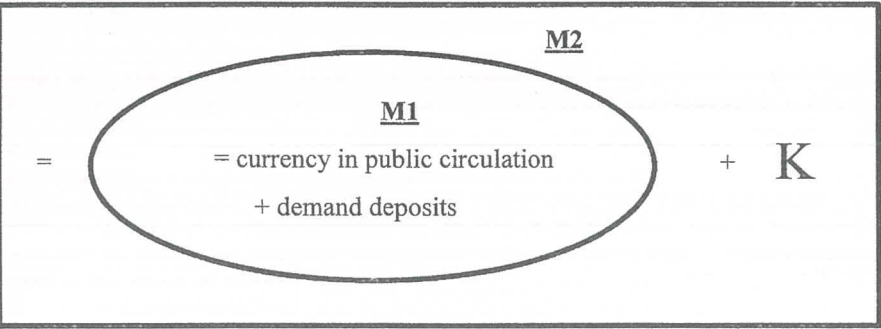
- A. (1) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

32. Which of the following are functions of the Hong Kong Monetary Authority?

- (1) acting as the lender of last resort for commercial banks
- (2) setting the prime rate (最優惠利率) of bank loans
- (3) issuing Hong Kong dollar coins

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

33. The following diagram shows the relationship between money supply M1 and M2 in Hong Kong.



In the above diagram, $M2 = M1 + K$. Which of the following are components of K?

- A. all types of deposits with licensed banks, restricted licence banks and deposit-taking companies
- B. time deposits with restricted licence banks and negotiable certificates of deposit issued by restricted licence banks held by non-bank public
- C. savings deposits and time deposits with licensed banks and negotiable certificates of deposits issued by licensed banks held by non-bank public
- D. reserves of licensed banks, restricted licence banks and deposit-taking companies

34. The table below shows the balance sheet of a banking system. Suppose there are excess reserves of \$20 million in the banking system and the public always holds a fixed amount of cash.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	40	Deposits	100
Loans	60		

Suppose some banks lend out their excess reserves. After deposit creation, the loans in the banking system increase by \$20 million. Which of the following statements about the banking system is correct?

- A. The reserves of the banking system become \$20 million.
- B. The excess reserves of the banking system become \$16 million.
- C. The banking system has a reserve shortage of \$8 million.
- D. The amount of deposits in the banking system becomes \$200 million.

35. The table below shows the monetary data of a country. The public always holds a fixed amount of cash.

Money supply	\$95 million
Cash held by public	\$15 million
Actual reserve ratio	25%
Excess reserves	\$4 million

Based on the above information, which of the following statements are correct?

- (1) The monetary base is \$35 million.
- (2) The maximum banking multiplier is 5.
- (3) When all banks are fully loaned up, the maximum amount of money supply is \$115 million.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

36.

Nominal interest rate on bonds	6%
Expected inflation rate	4%

Based on the above information, the _____ of holding money is 6%, and the expected real rate of return of holding _____ is - 4%.

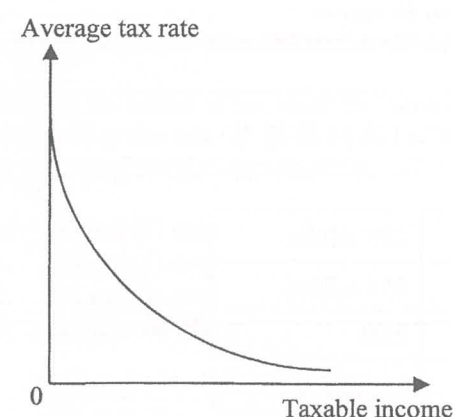
- A. cost money
- B. cost bonds
- C. nominal rate of return money
- D. nominal rate of return bonds

37. Which of the following about the quantity theory of money is correct?

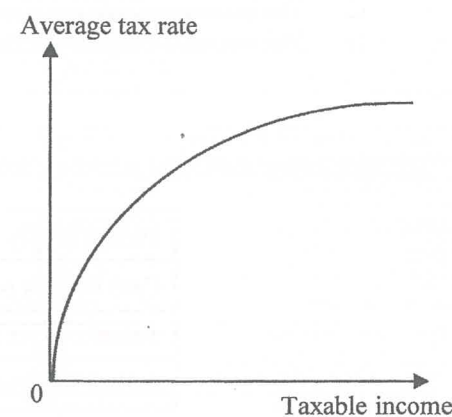
- A. An increase in money supply will not affect the nominal output in the long run.
- B. If the money supply growth rate is constant, the price level will also be constant in the long run.
- C. If the price level is constant, a decrease in real output will lead to a decrease in money supply.
- D. If the real output growth rate is zero, the price level growth rate will be equal to the money supply growth rate.

38. Which of the following tax systems tend to raise the post-tax Gini coefficient of an economy?

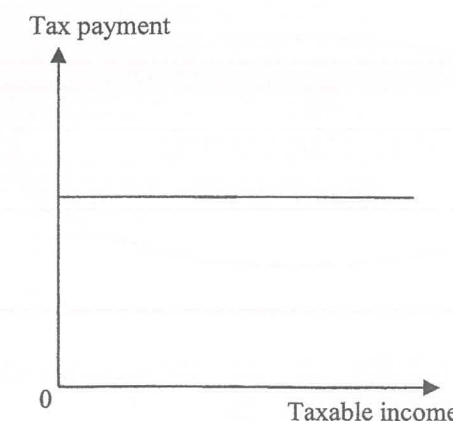
(1)



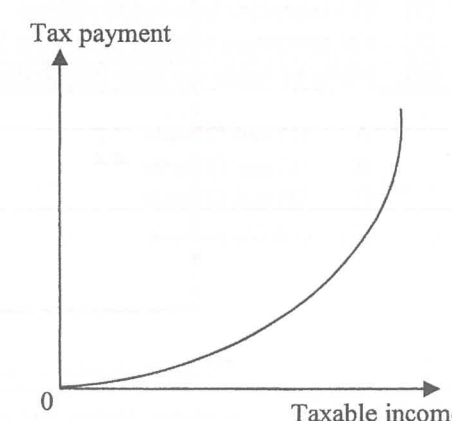
(2)



(3)



(4)



- A. (1) and (3) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (2) and (4) only

39. A contractionary monetary policy is adopted in China when

- (1) the People's Bank of China (中國人民銀行) increases the required reserve ratio of commercial banks.
- (2) the People's Bank of China cuts the interest rate on its loans to commercial banks.
- (3) the Chinese Government raised the tax rates of the individual income tax.

- A. (1) only
- B. (3) only
- C. (1) and (2) only
- D. (2) and (3) only

40. Which of the following measures may increase the aggregate output and reduce the balance of payments deficits at the same time?

- (1) to set up night markets to attract foreign tourists
- (2) to construct infrastructure by importing raw materials from foreign countries
- (3) to launch a promotion campaign to attract more investment from foreign countries

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

41. In an open economy, if the government raises the income tax rate, the income tax revenue _____ and the total import value _____.

- A. will increase may increase or decrease
- B. will decrease may increase or decrease
- C. may increase or decrease will increase
- D. may increase or decrease will decrease

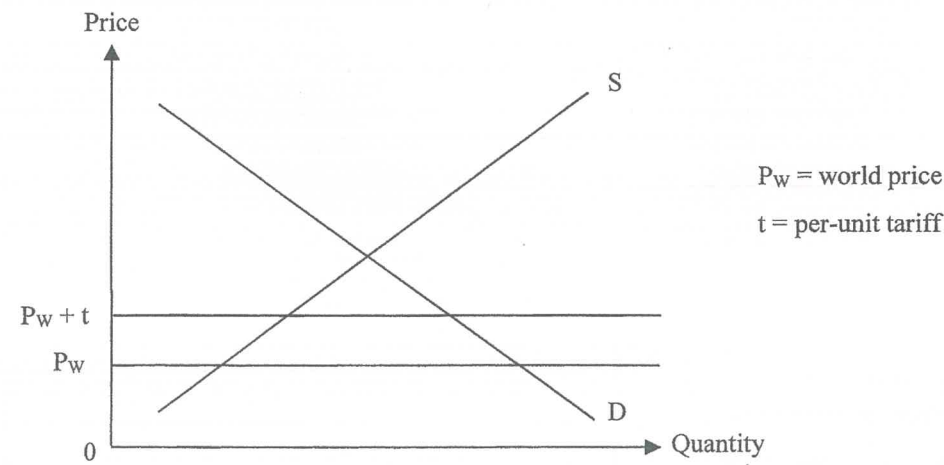
42. The following table shows the outputs of books and smartphones of Country Y.

	Books (units)	AND	Smartphones (units)
Outputs before specialisation and trade	60		60
Outputs after specialisation	0		180

Suppose for each unit of smartphones traded, the gain to Country Y is 0.2 units of books. The terms of trade for 1 unit of smartphones is _____ units of books.

- A. 0.3
- B. 0.7
- C. 1.2
- D. 2.2

43. The diagram below shows the market of Good X in a small open economy. A per-unit tariff is imposed on Good X in the economy.



If the world price of Good X increases, _____.

- A. the domestic price of Good X will remain unchanged
- B. the import value net of tariff of Good X will increase
- C. the quantity of Good X produced domestically will increase
- D. the tariff revenue of Good X may increase

44. Refer to the following balance of payments data of an economy.

Year	Balance on goods (\$ million)	Balance on services (\$ million)
2020	-41 135	92 948
2021	24 671	135 042

Based on the above data, we can conclude that _____.

- A. the total value of exports of goods in 2021 was larger than that in 2020
- B. there was a current account surplus in 2020
- C. there was a balance of payments surplus in 2021
- D. the value of exports of services was larger than the value of imports of services in both 2020 and 2021

45. The following table shows the change in the exchange rate of Hong Kong dollar (HKD) against Renminbi (RMB).

	Exchange rate
11 August 2022	HKD 1 = RMB 0.86
11 August 2023	HKD 1 = RMB 0.92

The above change in the exchange rate would lead to _____.

- A. an appreciation of US dollar against Renminbi
- B. an increase in the total value of imports from the Mainland to Hong Kong in terms of Hong Kong dollar
- C. an increase in the competitiveness of the Mainland's goods exported to Hong Kong
- D. an increase in the production cost of construction companies in Hong Kong which import construction materials from the Mainland

END OF PAPER

Sources of materials used in this paper will be acknowledged in the *HKDSE Question Papers* booklet published by the Hong Kong Examinations and Assessment Authority at a later stage.

ECONOMICS PAPER 2
Question-Answer Book

10:15 am – 12:45 pm (2 hours 30 minutes)
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7, 9 and 11.
- (2) This paper consists of two sections, A and B. Answer ALL questions in sections A and B.
- (3) Write your answers in the spaces provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your Candidate Number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the 'Time is up' announcement.

Please stick the barcode label here.

Candidate Number									
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Section A (50 marks)

1. The table below shows the distribution of market share in the telecommunications industry in Hong Kong in 2023.

	Market Share
Hong Kong Telecommunications (stock code: 6823)	55%
Hong Kong Broadband Network	35%
Others	10%

- (a) (i) Name the type of business ownership of Hong Kong Telecommunications. (1 mark)
- (ii) Suppose Hong Kong Telecommunications plans to raise capital for expansion. From the viewpoint of the owners of the company, state **ONE** advantage and **ONE** disadvantage of issuing shares over bonds. (2 marks)
- (b) What was the type of market structure of the above telecommunications market in 2023? List **TWO** features of this type of market structure that distinguish it from all the other types of market structure. (3 marks)
- (c) Unlike Hong Kong, City A has only one telecommunications company. Suggest **ONE** possible source of monopoly power for the telecommunications company in City A. (1 mark)

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2. Many industrial activities emit carbon dioxide, intensifying global warming and potentially bringing hazards to all human beings.

- (a) In terms of externality, explain why the emission of carbon dioxide by industrial activities may result in economic inefficiency. (4 marks)

A system of carbon credits is introduced by the governments in some countries. Carbon credits are permits for emitting carbon dioxide. Producers must purchase carbon credits from the government in order to engage in production activities that emit carbon dioxide.

- (b) Explain how the introduction of the system of carbon credits may improve economic efficiency. (2 marks)

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3. Since 2020, the government of an economy has imposed an effective quota on the production of automobiles. From 2022 to 2023, a strong economic growth was recorded in the economy.

Suppose automobiles are normal goods. How would the deadweight loss in the market of automobiles in the economy be affected by the economic growth in the above period? Explain with the aid of a diagram. (6 marks)

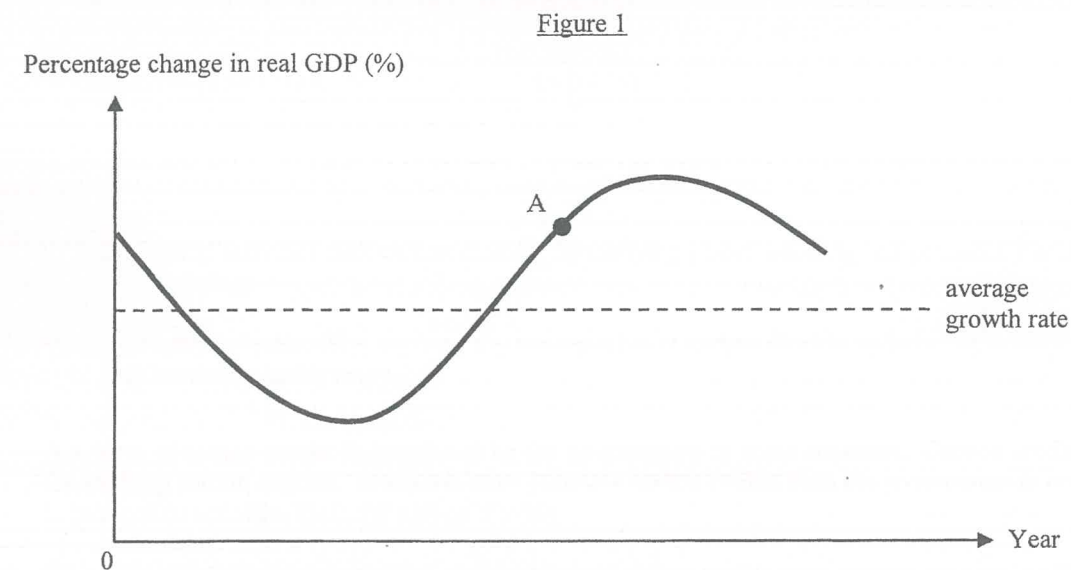
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4. Figure 1 shows the percentage change in real gross domestic product (GDP) of an economy.



- (a) Identify the phase of business cycle that point A is in. (1 mark)
- (b) Apart from the change in real GDP, list **TWO** economic phenomena which would generally occur at point A. (2 marks)

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5. Refer to the following statistical information of an economy.

Year	Nominal GDP (\$ million)	Year-on-year percentage change in implicit price deflator of GDP
2022	2 850 000	+3.8%
2023	2 800 000	+0.7%

- (a) Based on the above information, how did the real output of the economy change from 2022 to 2023? Explain your answer. (2 marks)
- (b) 'As the nominal GDP in 2023 decreased, the general living standard in the economy deteriorated during that period.' Suggest **TWO** reasons why this statement may be incorrect. (2 marks)
- (c) Suppose people did not expect any change in the general price level in 2023. A tenant signed a rental contract with a landlord in 2022 for a fixed monthly rental over a 3-year contractual period. Who, the tenant or the landlord, would gain when the above change in the general price level occurred in 2023? Explain. (2 marks)

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6. Refer to the following conversation between two villagers in a barter economy.

Villager A: I want to exchange my beans for your pork.

Villager B: But what I want now is rice.

- (a) A problem that hinders exchanges in a barter economy is revealed in the above situation. Identify the problem. (1 mark)
- (b) (i) What is money? (1 mark)
- (ii) Explain how the use of money can facilitate exchanges. (2 marks)

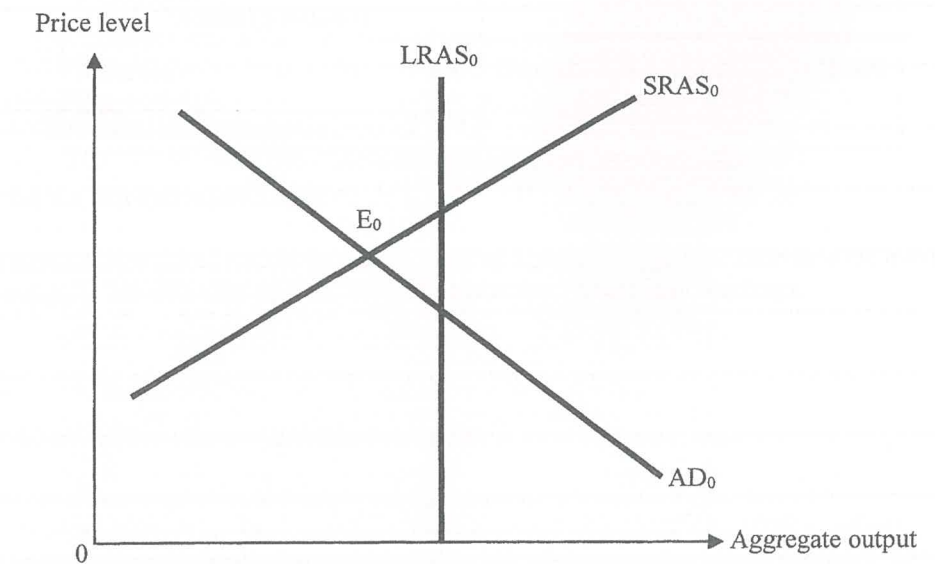
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7. Figure 2 shows the aggregate demand (AD), short run aggregate supply (SRAS) and long run aggregate supply (LRAS) curves of an economy.

Figure 2



- (a) Give **ONE** reason to explain why the aggregate demand curve is downward sloping. (3 marks)
- (b) Suppose the economy initially operates at E_0 . With the aid of Figure 2, explain how the market adjustment mechanism can restore the aggregate output to the full-employment output level in the long run. (5 marks)

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8. Suppose in an economy, the public increases their cash holding by withdrawing bank deposits. Immediately after the withdrawal, the banking system of the economy faces a reserve shortage of \$100 million.

The following table shows the balance sheet of the banking system immediately after the withdrawal.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	600	Deposits	3 500
Loans	2 900		

- (a) Find the required reserve ratio. (1 mark)
- (b) Suppose the required reserve ratio is reduced by 5 percentage points. Calculate the maximum possible change in deposits after deposit creation/contraction. Show your workings. (3 marks)

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9. The table below shows the total output of Country X and Country Y. Each country allocates 25% of its resources to produce bread and 75% of its resources to produce clothing.

	Bread (units)		Clothing (units)
Country X	100	AND	75
Country Y	80	AND	240

- (a) Explain whether Country X has an absolute advantage in the production of bread. (2 marks)
- (b) Suppose Country X and Country Y trade at an exchange ratio of 10 units of bread to 7 units of clothing. Calculate the gain from trade for the bread-exporting country from exporting 30 units of bread. Show your workings. (4 marks)

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Section B (70 marks)

10. The government of City B actively promotes the development of tourism industry.

Suppose some airlines in City B hold promotion campaigns that a total of 20 000 flight tickets to City B are given out for free.

- (a) Explain whether the free flight tickets are
- (i) free goods. (2 marks)
- (ii) public goods. (3 marks)
- (b) To which type of production do airlines belong? Explain your answer. (2 marks)
- Following the promotion effort of the government, many people travel to City B. As a result, flight ticket price is doubled, while the quantity transacted of flight tickets changes by 50%.
- (c) Based on the above information, what can we conclude about the price elasticity of demand and/or supply of flight tickets? Explain. (3 marks)
- (d) To further stimulate the tourism industry, the government of City B abolishes the lump-sum fuel surcharge on flight tickets. Explain how the average flight distance would be affected. (3 marks)

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11. Ann is the owner of a coffee shop in Hong Kong.

- (a) Ann is recruiting a new barista to prepare beverages for customers in her coffee shop. She is considering the following two wage payment methods.

Wage Payment Method A	Wage Payment Method B
- \$14 000 per month	- \$15 000 per month
- The barista is allowed to receive tips from customers	- The barista is NOT allowed to receive tips from customers

From the viewpoint of the barista, state **ONE** advantage and **ONE** disadvantage of wage payment method A over wage payment method B. (2 marks)

- (b) The landlord of Ann's coffee shop premises raised the monthly rental from \$70 000 to \$85 000. Ann said, 'Despite the increase in the monthly rental, the quantity of daily output of my coffee shop remains unchanged.'
Explain Ann's output decision with reference to the profit-maximising condition under perfect competition. (3 marks)
- (c) Ann invited a famous barista from Japan to provide a workshop for her customers. The barista received a remuneration of \$30 000 from Ann's coffee shop and stayed in Hong Kong for a week. Explain how this \$30 000 would affect Hong Kong's net factor income from abroad. (3 marks)
- (d) Suppose more and more Mainland visitors consume at Ann's coffee shop. Thus, Ann purchases more coffee beans from Brazil to cater for the increased business. Explain why these transactions may increase the current account balance of Hong Kong's balance of payments. (3 marks)
- (e) Ann has been operating her business in the form of a sole proprietorship. Give **TWO** economic reasons why she does not choose to change the form of business ownership of her coffee shop to a partnership. (2 marks)
- (f) After opening several new coffee shops, Ann found that the average cost of production of her business had decreased. Give **TWO** reasons for the above change in average cost. (2 marks)

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12. Since the 2010s, the government of Saudi Arabia has been actively promoting football development.

- (a) Suppose a football club in Saudi Arabia constructs a large football stadium there. With the aid of a diagram, explain how Saudi Arabia's aggregate output in the short run will be affected during the construction period of the stadium. (5 marks)

Some football clubs in Saudi Arabia have established their own football academies to train young players.

- (b) Suppose some unemployed youngsters stopped seeking jobs and enrolled in the full-time training programmes of these football academies. Explain how the unemployment rate in Saudi Arabia would be affected. (4 marks)
- (c) Ahmed, an unemployed youngster in Saudi Arabia, is considering whether he should stop seeking jobs and enrol in a full-time training programme of a football academy. His order of preference is as follows:

First option:	to enrol in a training programme of Football Academy A
Second option:	to enrol in a training programme of Football Academy B
Third option:	to continue seeking jobs

Suppose Football Academy B offers a scholarship to Ahmed. Explain whether the opportunity cost for Ahmed to continue seeking jobs would necessarily remain unchanged. (3 marks)

- (d) Neymar is a famous Brazilian footballer. He has been recruited by a football club in Saudi Arabia recently. Suppose he is required to pay an income tax of 20% on his taxable income to the Government of Saudi Arabia. Explain whether the income tax paid by Neymar is
- (i) a direct tax or an indirect tax. (2 marks)
- (ii) progressive, proportional or regressive. (2 marks)

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- Source A: Fiscal balance of the Hong Kong Government



Source C: News extract about the catering industry in Hong Kong in 2023

Source D: Wage rates of waiters in Hong Kong in 2023

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Source E: Some data and views on the Hong Kong economy

 A banker	Influenced by the contractionary monetary policy in the US, the interest rate in Hong Kong rose drastically from mostly below 2% in 2018 to over 5% by the end of 2023.
 An economist	The inflation rate in the Mainland remained lower than that in Hong Kong throughout 2023. Negative growth in the general price level was recorded in October and November in the Mainland.
 A government official	Reviving the night-time economy is essential in facilitating the economic recovery in the short term, whereas innovation and technology development is a significant engine for driving high-quality economic growth in the medium-to-long term.

- (a) Refer to Source A. How may an economic downturn affect the fiscal balance of the Hong Kong Government? Explain your answer with reference to the possible effects of an economic downturn on the government's revenue and expenditure. (4 marks)
- (b) Refer to Source B. Under the Linked Exchange Rate System of Hong Kong, how would the change in the exchange rate shown in Source B affect the number of Hong Kong residents visiting the Mainland during the period? Explain your answer. (3 marks)
- (c) Refer to Sources C and D.
- (i) Illustrate the economic phenomenon revealed by Source C with a supply-demand diagram.
- (ii) With the aid of the same diagram in (c)(i), explain whether the minimum wage was effective in the labour market of waiters in 2023. (5 marks)

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For part (d), candidates are required to present their answers in an essay form. Criteria for marking will include the use of the sources and economic theories, relevant content, logical presentation, and clarity of expression.

- (d) Suppose there are two suggestions to stimulate Hong Kong's economic recovery and growth:

Suggestions	Objectives
I. Importing a large number of low-skilled workers for the catering industry and organising more night-time events to attract citizens and tourists to stay out at night for leisure	To facilitate the revival of the catering industry by boosting their revenue
II. Providing tax deductions for firms' expenses on innovation and technology projects to attract local and foreign investors to invest in the innovation and technology industry in Hong Kong	To enhance labour productivity and potential output

With reference to the above sources and your own knowledge in Economics, discuss

- how each of the above two suggestions may achieve its objective, and
- some possible factors that may limit the effectiveness of the two suggestions in achieving their corresponding objective. (Hint: You may consider some macroeconomic variables shown in the above sources, e.g. the exchange rate and the interest rate.)

(14 marks)

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Supplementary Answer Sheet

Question No. _____

END OF PAPER

Sources of materials used in this paper will be acknowledged in the *HKDSE Question Papers* booklet published by the Hong Kong Examinations and Assessment Authority at a later stage.

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Supplementary Answer Sheet

Question No. _____

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Marking Schemes

Paper 1

Question No.	Key	Question No.	Key
1.	C (64)	26.	A (72)
2.	D (40)	27.	A (61)
3.	A (58)	28.	B (69)
4.	D (41)	29.	B (60)
5.	B (72)	30.	C (87)
6.	A (68)	31.	C (61)
7.	D (77)	32.	B (61)
8.	D (54)	33.	C (79)
9.	C (79)	34.	B (40)
10.	D (40)	35.	D (50)
11.	A (80)	36.	A (64)
12.	A (77)	37.	D (50)
13.	A (67)	38.	A (64)
14.	B (32)	39.	A (66)
15.	C (55)	40.	B (77)
16.	D (46)	41.	D (61)
17.	B (63)	42.	B (39)
18.	A (19)	43.	C (54)
19.	B (25)	44.	D (61)
20.	C (50)	45.	C (46)
21.	C (52)		
22.	D (27)		
23.	C (70)		
24.	B (47)		
25.	C (54)		

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

Paper 2

These documents were prepared for markers' reference. They should not be regarded as sets of model answers. Candidates and teachers who were not involved in the marking process are advised to interpret their contents with care.

The answers provided in the marking scheme are for reference only. They are not the only possible answers. Alternative answers are acceptable so long as they are well reasoned.

The examination emphasises the testing of the understanding of economic theories and the application of the knowledge of economic analysis to practical problems. Candidates are advised to study this document in conjunction with the examiner's comments on candidates' performance in this booklet.

For essay-type questions, candidates are expected to demonstrate an understanding of the question, an ability to deploy relevant knowledge of the subject in response to the questions, and to present their answers logically and coherently.

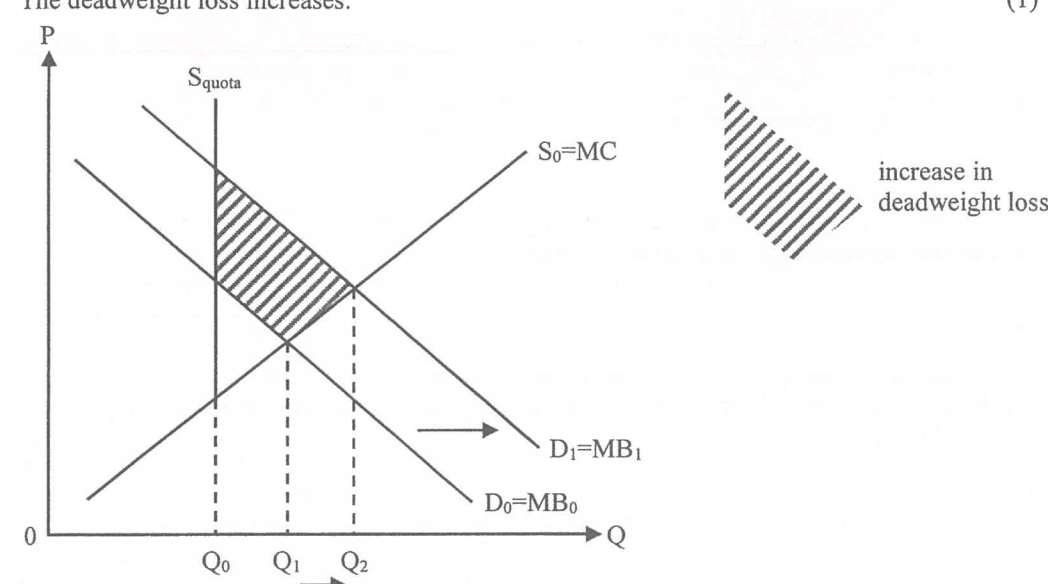
In questions asking for a specified number of reasons or examples etc. and a candidate gives more than the required number, the extra answers should not be marked. For instance, in a question asking candidates to provide two examples, and if a candidate gives three answers, only the first two should be marked.

The following symbols are used:

- / A single slash indicates an acceptable alternative within an answer.
- @ The number in front of the symbol indicates the marks for each point.
- max Maximum mark for the question/sub-question

Section A

- 1 (a) (i) Public limited company / Listed company (1)
- (ii) Advantages:
- no interest burden
 - no redemption obligation
- [Mark the FIRST point ONLY.] } 1@
max: 1
- Disadvantages:
- dilution of ownership and reduction in control power over the firm
 - higher risk of being taken over
- [Mark the FIRST point ONLY.] } 1@
max: 1
- (b) Oligopoly (1)
- Features:
- a few dominant sellers
 - sellers are interdependent in pricing strategy
 - price rigidity/stickiness
- [Mark the FIRST TWO points ONLY.] } 1@
max: 2
- (c) Possible sources of monopoly power:
- government franchise
 - high set-up costs and natural monopoly
 - government ownership
- [Mark the FIRST point ONLY.] } 1@
max: 1
2. (a) Negative externality may be involved when producers engaged in industrial activities which emit carbon dioxide do not have to pay compensation for the harm inflicted on others. (2)
- As a result, equilibrium output determined by equality between marginal private (= social) benefit and marginal private (< social) cost would be higher than the socially efficient level (where marginal social benefit = marginal social cost). Such over-production resulting from the divergence between marginal private cost and marginal social cost implies economic inefficiency (i.e., inefficient allocation of the society's resources in producing such products). (2)
- (b) Payment for carbon credits to engage in production activities that emit carbon dioxide would raise the producers' marginal private cost and thus lower equilibrium output towards the efficient level. At this lower level of output, the gap between marginal private cost and marginal social cost is reduced and economic efficiency is improved. (2)

3. Verbal elaboration:
- Economic growth implies an increase in income, which would raise the demand for automobiles, given that automobiles are normal goods. (1)
 - The gap between marginal benefit and marginal cost increases. / The efficient quantity increases from Q_1 to Q_2 and diverges further from the quantity transacted (Q_0). (1)
 - The deadweight loss increases. (1)
- 
- Indicate in the diagram:
- Kinked supply curve under quota (1)
 - Rightward shift of demand curve (1)
 - Increase in deadweight loss (1)
4. (a) Recovery (1)
- (b) Economic phenomena:
- rising inflation rate / rising general price level
 - falling unemployment rate
 - rising consumption/investment
 - Any other relevant point
- [Mark the FIRST TWO points ONLY.] } 1@
max: 2

5. (a) Real GDP = (nominal GDP / price level) × 100.
As nominal GDP falls while price level rises, real GDP must have fallen. (1)
- (b) Reasons:
 – Population may have dropped by a larger percentage than real GDP.
 – Pollution may have become less serious.
 – Citizens may have enjoyed more leisure time.
 – Any other relevant point
 [Mark the FIRST TWO points only.] (1@ max: 2)
- (c) The tenant would gain, because the purchasing power of the fixed rental paid would decrease when the general price level increased. (2)

OR

The tenant would gain, because the purchasing power of the fixed rental paid would be lower than expected when the actual inflation rate (0.7%) was higher than expected (0%).

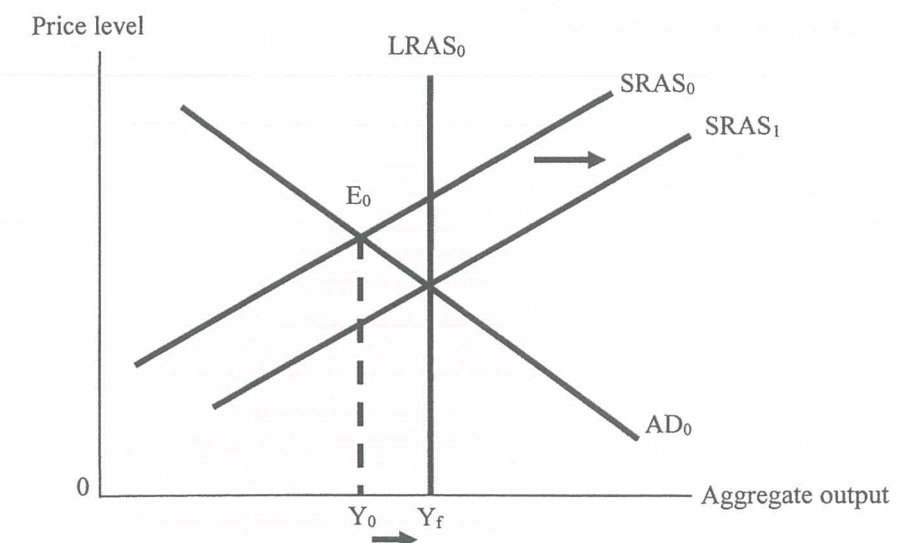
6. (a) The lack of double coincidence of wants. (1)
- (b) (i) Money is anything that is generally accepted as a medium of exchange. (1)
- (ii) The use of money allows the acts of buying and selling to be separated, so that exchange no longer requires double coincidence of wants. For example, Villager A may sell his beans for money and use the money to purchase pork from Villager B (who can in turn use the money to buy rice from someone else). (2)

7. (a) Reasons:
 – Wealth effect: As many of the assets in the economy are denominated in nominal values, the higher the price level, the lower the purchasing power of these monetary assets. This reduces the wealth of the economy (in real terms). As a result, consumption decreases and the aggregate quantity of output demanded drops.
 – Interest rate effect: As the price level rises, households and firms demand more money to finance their transactions. Given the fixed supply of money, the interest rate would rise. An increase in interest rate would cause a decline in investment and consumption and thus the aggregate quantity of output demanded.
 – Net exports effect: As the domestic price level rises, foreign-made goods become relatively cheaper so the quantity demanded of imports increases. The rise in the domestic price level also means that domestically produced goods are relatively more expensive to foreign buyers, so the quantity demanded of exports decreases. When the volume of exports decreases and that of imports increases, net exports will decrease (if the price elasticities of demand for exports and/or imports are sufficiently high). As net exports are a component of aggregate expenditure, the aggregate quantity of output demanded would drop as net exports decline.
 [Mark the FIRST point ONLY.] (3@ max: 3)

- (b) Verbal elaboration:
 The economy is facing a deflationary (output) gap. (1)
 There is an excess supply in the factor market. (1)
 It creates pressure for factor prices to adjust downward. Costs of production would drop. (1)
 Short run aggregate supply (SRAS) would increase over time, (1)
 thus restoring output level to the full-employment output level, Y_f , in the long run.

Indicate in the diagram:

- Rightward shift of short run aggregate supply curve, reaching Y_f . (1)



8. (a) The required reserve ratio = $[(\$600 \text{ million} + \$100 \text{ million}) / \$3\,500 \text{ million}] \times 100\%$
= 20% Marks
(1)

(b) The new required reserve ratio = $20\% - 5\% = 15\%$ (1)
The maximum amount of deposits after deposit creation (1)
= $\$600 \text{ million} / 15\% = \$4\,000 \text{ million}$
The maximum change in deposits (1)
= $\$4\,000 \text{ million} - \$3\,500 \text{ million}$
= $\$500 \text{ million}$

9. (a) Absolute advantage cannot be determined (1)
as the actual amounts of resources in the two countries are not known. (1)

(b) Outputs when each country allocates all its resources to producing either bread or clothing:

	Bread (units)		Clothing (units)
Country X	$100 / 0.25 = 400$	OR	$75 / 0.75 = 100$
Country Y	$80 / 0.25 = 320$	OR	$240 / 0.75 = 320$

Hence, opportunity cost to produce 1 unit of bread (2)
in Country X = $100/400 = 0.25$ units of clothing
in Country Y = $320/320 = 1$ unit of clothing

As Country X has a lower cost in producing bread, it is the bread-exporting country.
The total gain from trade from exporting 30 units of bread (1)
= $30 \times (7/10 - 0.25)$ (1)
= 13.5 units of clothing

Section B

10. (a) (i) No. More free flight tickets are preferred. The resources used to produce these services have alternative uses. Marks
(2)

(ii) No. The flight tickets are rival in consumption. One's consumption of the tickets reduces their availability to others. (3)

(b) Tertiary production, because airlines provide (flight) services. (2)

(c) As the demand for flight tickets increases, the demand curve shifts to the right. The equilibrium point moves upward along the same supply curve. Therefore, the percentage change in quantity relative to that in price depends on the price elasticity of supply. (3)
Given that the percentage increase in quantity is smaller than the percentage increase in price, we can conclude that the supply of flight tickets is inelastic.

(d) As the same amount of lump-sum fuel surcharge is subtracted from the prices of both long- and short-distance flights, the percentage decrease in the nominal price of long-distance flights would be smaller than that in short-distance flights. (1)
The relative price of long-distance flights in terms of short-distance flights increases, resulting in a decrease in the ratio of long-distance flights relative to short-distance flights. (1)
Average flight distance decreases. (1)

11. (a) Advantage:
possibility of earning a higher income by providing better services (1)
- Disadvantage:
higher risk of income fluctuations (1)
- (b) To maximise profit, a firm under perfect competition produces up to the point where the marginal cost of the last unit equals its marginal revenue (i.e., the market price). In choosing daily output, the monthly rental cost is viewed as a fixed cost as it does not vary with the quantity of output produced in a day. (1)
As the increase in rental cost affects neither the marginal cost nor the market price, it does not affect the profit-maximising daily output quantity. (1)
- (c) As the barista stays in Hong Kong for only one week, he is not regarded as a Hong Kong resident. (1)
His income from Ann's coffee shop (a Hong Kong resident producing unit) is therefore regarded as factor income paid abroad which is to be deducted in the calculation of Hong Kong's net factor income from abroad. (1)
Therefore, Hong Kong's net factor income from abroad would decrease. (1)
- (d) As more Mainland visitors consume at Ann's coffee shop, the value of HK's exports of services increases. (1)
As Ann buys more coffee beans from Brazil, the value of HK's imports of goods increases. (1)
As there is value-added by Ann's coffee shop, the increase in the value of HK's exports of services (due to the increase in the sales revenue of Ann's coffee shop) would be greater than the increase in the value of HK's imports of goods (due to the increase in the purchase cost of Brazilian coffee beans by Ann's coffee shop). As a result, the current account balance of HK's balance of payments increases. (1)
- (e) Possible reasons:
– Ann does not want to be legally bound by the business decisions of a partner.
– Ann prefers making decisions promptly by herself.
– Any other relevant point
[Mark the FIRST TWO points ONLY.] } 1@
max: 2
- (f) Possible reasons:
– discount for bulk purchase of inputs, e.g., coffee beans
– spreading of advertising cost over a larger number of outputs
– lower cost of borrowing with more collateral
– Any other relevant point
[Mark the FIRST TWO points ONLY.] } 1@
max: 2

12. (a) Verbal elaboration:
– Due to the construction, gross investment expenditure will increase. (1)
– Aggregate demand will increase. (1)
– Aggregate output will increase in the short run. (1)
- Indicate in the diagram:
– rightward shift of aggregate demand curve (1)
– increase in aggregate output (1)
-
- (b) Unemployment rate = (unemployed population / labour force) × 100%. As some unemployed young adults enrol in the full-time training programmes of those football academies, the number of unemployed and the labour force would decrease by the same magnitude. The percentage decrease in the unemployed population would be bigger than that in the labour force. As a result, the unemployment rate decreases. (4)
- (c) No, because the offer by Football Academy B makes the second option more attractive / raises the value of the second option. (1)
If the scholarship raises the value of the second option above that of the first option, the opportunity cost of continuing to seek jobs will change (increase) from the value of enrolling full-time in Football Academy A to that of enrolling full-time in Football Academy B. (1)
- (d) (i) Direct tax, because the tax burden cannot be shifted by the tax-payer (Neymar) to someone else. (2)
- (ii) Proportional tax, because the average tax rate remains unchanged (20%) when the taxable income changes. (2)

13. (a) As shown in Source A, the Government's fiscal balance decreased, going from a fiscal surplus in 2018-19 to a fiscal deficit in 2022-23.
In times of an economic downturn, firms' profits / workers' salaries / property owners' rental income tend(s) to decrease. As a result, the Government's revenue from profits tax / salaries tax / property tax decreases, worsening the fiscal balance.
In times of an economic downturns, the number of unemployed tends to increase. Government expenditure on welfare benefits¹ would increase, reducing the fiscal balance.

Marks
(1)
(2)
(2) } max: 4

- (b) Source B shows that the USD appreciated against the RMB during the period. Under the Linked Exchange Rate System of Hong Kong, HKD would also appreciate against RMB. As HKD appreciated against RMB, prices of goods and services in the Mainland dropped in terms of HKD (assuming that their prices in RMB remained unchanged). The money cost for Hong Kong residents to visit the Mainland would drop.
As a result, the number of Hong Kong residents visiting the Mainland would increase.

(1)
(1)
(1)

- (c) (i) Indicate in the diagram:
wage rate (\$62.4) below equilibrium
labour shortage = ab

(1)
(1)

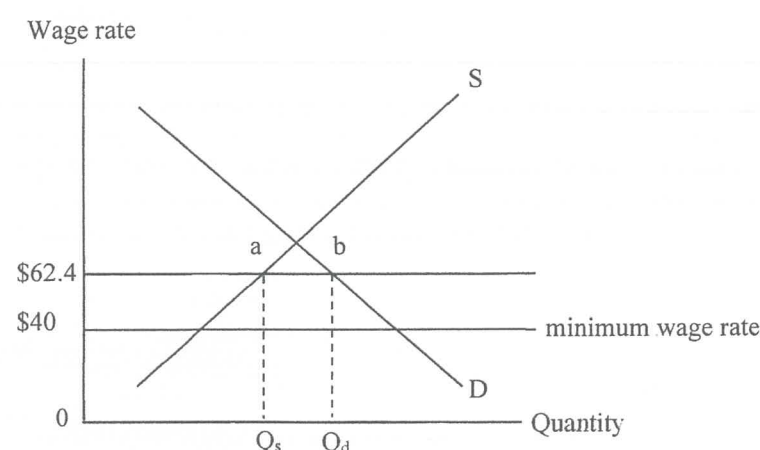
- (ii) Verbal elaboration:
– As a labour shortage exists at the prevailing wage rate (\$62.4), it can be concluded that the prevailing wage rate is below the equilibrium. As the minimum wage rate (\$40) is below the prevailing wage rate, it must be below the equilibrium wage rate as well.
– Thus, the minimum wage is ineffective in the labour market of waiters in 2023.

(1)
(1)

Indicate in the diagram:

- minimum wage rate (\$40) < \$62.4 < equilibrium wage rate

(1)



- (d) Marks for effective communication (EC: max 2 marks)

Marks	Performance
2	● Support arguments with the source/data and appropriate economic theories. ● Present relevant material. ● Present well-organised and coherent answers without repetition of ideas. ● Use language that expresses ideas clearly and fluently with appropriate use of words/terms/symbols.
1	● Present arguments with some support of the source/data and economic theories. ● Present some irrelevant material. ● Present answers in a less organised way with some repetition. ● Use language that conveys a clear message with some inappropriate use of words/terms/symbols.
0	● Present arguments with no support of the source/data and economic theories. ● Present material unrelated to the gist of the question. ● Present inconsistent arguments. ● Express limited ideas with inappropriate use of words/terms/symbols.

The maximum mark for content is 12 marks.

How Suggestion I may achieve its objective:

- Importation of workers would increase labour supply and lower the equilibrium wage rate. The cost of production for the catering industry would decrease. Supply increases.
- Organising night-time events raises the market demand for the catering industry.
- Equilibrium quantity increases. Equilibrium price would increase if the increase in demand was greater than that in supply. In that case, the total revenue of the catering industry would increase.

OR

- Equilibrium quantity increases. Equilibrium price would remain unchanged if the increase in demand is equal to that in supply. In that case, the total revenue of the catering industry would increase.

OR

- Equilibrium quantity increases. Equilibrium price would decrease if the increase in demand is smaller than that in supply. In that case, the total revenue of the catering industry would increase if the percentage increase in quantity was greater than the percentage decrease in price.

How Suggestion II may achieve its objective:

- An increase in investment in innovation and technology tends to enhance production technology and induce a more capital-intensive production mode, raising labour productivity.
- The improvement in technology and labour productivity would enhance production capacity, raising the long-run aggregate supply. Potential output (i.e., full-employment output) would increase.

¹ Unemployment benefits should be counted as transfer payments rather than government consumption expenditure. As negative taxes, they have negative effects on fiscal balance all the same.

Possible factors that may limit the effectiveness of Suggestion I in achieving its objective:

- As shown in Source B, the appreciation of USD against RMB implies an appreciation of HKD against RMB under the Linked Exchange Rate System of Hong Kong.
- The cost for Mainland residents to consume in Hong Kong (in terms of RMB) increases. This reduces the demand for catering services in Hong Kong, lowering the total revenue of the catering industry.

OR

- The cost for Hong Kong residents to consume in the Mainland (in terms of HKD) decreases. As more Hong Kong residents travel to and consume in the Mainland, the demand for catering services in Hong Kong decreases, lowering the total revenue of the catering industry.
- As revealed in the comment of the economist, the inflation rate in the Mainland had been lower than that in Hong Kong. Relative prices of goods and services in the Mainland (in terms of that in Hong Kong) would decrease. As a result, more Hong Kong residents would travel to and consume in the Mainland / fewer Mainland residents would travel to and consume in Hong Kong. This reduces the demand for catering services in Hong Kong, lowering the total revenue of the catering industry.

Possible factors that may limit the effectiveness of Suggestion II in achieving its objective:

- As revealed by the comment of the banker, there was a drastic increase in the interest rate in Hong Kong. The cost of borrowing increased, reducing investment and offsetting the effects of the tax deductions.
- As shown in Source B, the appreciation of USD against RMB implies an appreciation of HKD against RMB under the Linked Exchange Rate System of Hong Kong. The cost for Mainland investors to invest in Hong Kong (in terms of RMB) increases, reducing their investments in Hong Kong.

OR

- The cost for Hong Kong investors to invest in the Mainland (in terms of HKD) decreases. As a result, more Hong Kong investors may choose to invest in the Mainland instead of in Hong Kong, reducing their investment in Hong Kong.

Candidates' Performance

Paper 1

Candidates' overall performance was satisfactory. The mean score of this paper was 26 out of 45. The following questions deserve special attention.

14. When the per-unit sales tax on Good X is halved, the government's tax revenue from Good X is also halved. One possible explanation is that _____.

- | | | |
|-----|---|-------|
| A. | the supply of Good X is perfectly elastic | (9%) |
| *B. | the supply of Good X is perfectly inelastic | (32%) |
| C. | the demand for Good X is perfectly elastic | (23%) |
| D. | the demand for Good X is unitarily elastic | (35%) |

This question is about the relation between supply/demand elasticity and sales tax. The government's tax revenue under a per-unit sales tax is equal to the tax per unit times the quantity transacted. Given that the government's tax revenue from Good X is halved when the per-unit sales tax on Good X is halved, the quantity transacted must have remained constant. For the quantity transacted to remain unchanged when the per-unit tax is reduced, either the demand for Good X or the supply of Good X has to be perfectly inelastic. Since perfectly inelastic demand is not among the given options, the only correct answer would be option B.

18. Which of the following statements about perfect competition is **INCORRECT**?

- | | | |
|-----|---|-------|
| *A. | The market price tends to be stable as no firm can affect the market price. | (19%) |
| B. | Price is the only competitive criterion in determining the distribution of goods. | (45%) |
| C. | The marginal cost of the last unit of all firms is equal when the firms maximise their profits. | (31%) |
| D. | Firms sell homogeneous products. | (5%) |

This question tested candidates' understanding of the features of perfect competition. Almost half of the candidates picked option B as their answer. As non-price competition does not exist in a perfectly competitive market, price is the only competitive criterion. Some of the candidates who picked option B might have the misconception that since sellers are price-takers, even price competition does not exist under perfect competition. But price-taking is actually the result of keen price competition under which any seller who charges a higher price than others would be eliminated from the market. Therefore, price competition does exist under perfect competition. Candidates who picked option C as their answer might have overlooked the fact that all price-taking firms maximise their profits by producing up to the point where marginal cost of their last unit equals the market price. Since all firms face the same market price, their marginal costs must be equalised when all firms' profits are maximised. Only less than 20% of the candidates correctly identified statement A as an incorrect statement. Although it is true that no single firm can unilaterally affect the given market price under perfect competition, the market price itself may fluctuate over time due to possible changes in factor costs or market demand. Therefore, the market price in a perfectly competitive market does not necessarily tend to be stable.

19. Which of the following statements about overproduction is/are correct?

- (1) Overproduction of a good occurs when there is an excess supply of the good.
 - (2) Overproduction does not occur whenever the market is at equilibrium.
 - (3) When overproduction occurs, the marginal social cost is greater than the marginal social benefit at the last unit.
- A. (2) only (12%)
- *B. (3) only (25%)
- C. (2) and (3) only (20%)
- D. (1), (2) and (3) (43%)

This question is concerned about the concepts of equilibrium and efficiency. Many candidates mistakenly thought that all three statements about over-production were correct and thus picked option D as their answer. Statement (1) is incorrect. The presence of excess supply implies that price is above the equilibrium (market-clearing) level. In this case, the quantity transacted (= quantity demanded) would be smaller than the equilibrium quantity,¹ which would also be the efficient quantity (assuming no externality). In other words, there exists under-production rather than over-production, with marginal benefit exceeding marginal cost at the last unit transacted. Statement (2) is also incorrect. Over-production may occur when the market is at equilibrium, as in the case of negative externality or the provision of a per unit subsidy by the government. Only statement (3) is correct.

22. In recent years, more and more people play videos loudly with their smartphones on public transport, disturbing other passengers.

Based on the above information, which of the following statements are correct?

- (1) Total social surplus may decrease if playing videos loudly with smartphones on public transport is banned by the government.
 - (2) Economic efficiency may improve if suppliers of public transportation services designate quiet zones in their vehicles where passengers are not allowed to play videos loudly with their smartphones.
 - (3) The divergence between private and social costs may decrease if people playing videos loudly with their smartphones on public transport are fined.
- A. (1) and (2) only (9%)
- B. (1) and (3) only (8%)
- C. (2) and (3) only (56%)
- *D. (1), (2) and (3) (27%)

This question examined candidates' understanding of the divergence between private and social costs. Over half of the candidates picked option C as their answer, indicating that most candidates failed to identify statement (1) as a correct statement. The question involves negative externality. When there is negative externality, the free market equilibrium tends to result in overproduction. If the deadweight loss due to overproduction is smaller than the maximum total social surplus (i.e., the total social surplus when marginal social costs equal marginal social benefits), banning the action altogether (i.e., reducing the quantity to zero) will reduce the total social surplus from some positive number (namely, the maximum total social surplus minus the deadweight loss due to overproduction) to zero. Therefore, statement (1) is correct.

¹ Note that the quantity supplied (which exceeds both the quantity transacted/quantity demanded and equilibrium quantity) is only a planned quantity. In the presence of excess supply, the actual quantity of the good produced may not be equal to the quantity supplied.

34. The table below shows the balance sheet of a banking system. Suppose there are excess reserves of \$20 million in the banking system and the public always holds a fixed amount of cash.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	40	Deposits	100
Loans	60		

Suppose some banks lend out their excess reserves. After deposit creation, the loans in the banking system increase by \$20 million. Which of the following statements about the banking system is correct?

- A. The reserves of the banking system become \$20 million. (25%)
- *B. The excess reserves of the banking system become \$16 million. (40%)
- C. The banking system has a reserve shortage of \$8 million. (7%)
- D. The amount of deposits in the banking system becomes \$200 million. (28%)

This question is related to deposit creation. Quite a number of candidates picked option A as their answer. Given that the public always holds a fixed amount of cash, when the banks lend out their excess reserves, the entire sum of newly created loans will be re-deposited into the banking system so that the actual reserves in the banks remain unchanged at \$40 million. Therefore, option A is incorrect. Candidates who picked option D might have mistakenly calculated the maximum possible amount of deposits when the banks are fully loaned up. However, given that the loans in the banking system increase only by \$20 million, the deposits would also increase by \$20 million and become \$120 million in total. With a required reserve ratio of $(40 - 20) / 100 = 0.2$, the new level of required reserves is $120 \times 0.2 = \$24$ million. Excess reserves would thus drop to $40 - 24 = \$16$ million. Therefore, option B is correct.

Paper 2

Section A

Question Number	Performance in General
1(a)(i)	Very good. A very high proportion of candidates were able to correctly identify the type of business ownership.
1(a)(ii)	Satisfactory. More than half of the candidates were able to correctly state an advantage and a disadvantage of issuing shares over bonds. However, some candidates mistakenly stated advantages and disadvantages from the perspective of financial investors instead of that of the owners of the company.
1(b)	Fair. A high percentage of candidates were able to correctly identify the market structure. However, quite a number of candidates did not read the question carefully and listed some general features of imperfect competition (e.g., imperfect information) instead of features that were unique for oligopoly as required by the question.
1(c)	Satisfactory.
2(a)	Satisfactory. Many candidates were able to correctly identify the negative externality in the given situation. However, some candidates failed to accurately apply the definition of negative externality to the given scenario in their elaborations.
2(b)	Fair.
3	Fair. Most candidates were able to illustrate in the diagram the effective quota and explain the increase in automobile demand. However, quite a number of candidates were unable to identify the increase in deadweight loss.
4(a)	Very good.
4(b)	Good.
5(a)	Fair. About a third of the candidates were unable to correctly identify the direction of the change in real output based on a comparison of the change in nominal GDP and that in the price level.
5(b)	Poor. The question asked for two reasons why a decrease in nominal GDP did not necessarily mean a decrease in general living standard. However, quite a number of candidates simply provided reasons why nominal GDP might understate/overstate the general living standard.
5(c)	Fair. A high percentage of candidates were able to correctly identify the party who gained in the given scenario. However, some candidates failed to explain the gain with reference to the actual change in the real value of the fixed monthly rental relative to the expected change.

Question Number	Performance in General
6(a)	Poor. About two third of the candidates failed to correctly identify the problem that hinders exchange in the given situation.
6(b)(i)	Fair. About half of the candidates were able to correctly state the definition of money.
6(b)(ii)	Poor. About half of the candidates were able to provide some relevant explanations. However, only a small number of candidates could provide clear elaborations. Quite a number of candidates merely named some of the functions of money without explaining clearly how the named functions can facilitate exchange.
7(a)	Poor. Only about a quarter of the candidates were able to provide a satisfactory explanation. Some candidates failed to realise that the question asked for an explanation for the negative relation between the price level and the aggregate quantity of output demanded.
7(b)	Fair. About half of the candidates showed a satisfactory understanding of how the market adjustment mechanism could help restore aggregate output to its full-employment level in the presence of a deflationary output gap. However, some candidates mistakenly explained how certain fiscal/monetary policies could help to close the output gap, revealing their confusion about the concepts of market adjustment vs. government intervention.
8(a)	Very good.
8(b)	Satisfactory. A very small number of candidates misinterpreted the meaning of a reduction of the required reserve ratio 'by 5 percentage points' as a reduction by a factor of 0.95.
9(a)	Fair.
9(b)	Fair. About half of the candidates were able to correctly calculate the gains from trade. However, quite a number of candidates failed to notice the uneven allocation of resources to the production of the two goods in the two countries and therefore came up with wrong calculations.

Section B

Question Number	Performance in General
10(a)(i)	Excellent.
10(a)(ii)	Satisfactory.
10(b)	Excellent.
10(c)	Fair. Only about a quarter of the candidates were able to correctly infer and explain from the given information that the supply of flight tickets was inelastic. Quite a number of candidates mistakenly concluded that the demand for flight tickets was inelastic.
10(d)	Fair. Most candidates were able to apply the concepts of relative price and the law of demand in their explanations. However, about a third of the candidates were unable to reach the correct conclusion, and only less than a quarter of the candidates were able to provide sufficient elaborations.
11(a)	Good.
11(b)	Very poor. About half of the candidates either did not attempt this question or failed to provide any relevant answer. Many candidates were unable to make proper use of the profit-maximising condition under perfect competition in their explanation. Quite a number of candidates mixed up the profit-maximising condition with the condition for economic efficiency.
11(c)	Fair. While a majority of candidates were able to provide at least some partial explanations, only about a quarter of the candidates managed to elaborate on their answers. Some candidates failed to identify the barista's remuneration from Ann's coffee shop as factor income paid abroad from Hong Kong's perspective.
11(d)	Fair. A majority of candidates were able to identify either the imports of goods or the exports of services in the given scenario. However, only a small number of candidates were able to explain why the increase in the exports of services would be greater than the increase in the imports of goods.
11(e)	Satisfactory.
11(f)	Fair.
12(a)	Fair. Only about a quarter of the candidates were able to provide a comprehensive analysis. A number of candidates did not realise that the question required an illustration of the short-run effect of the construction project during the construction period and discussed the long-run effect instead. Some candidates failed to correctly identify the component of aggregate demand being affected in the given case.
12(b)	Fair. Only less than a quarter of the candidates were able to provide a complete explanation. Many candidates failed to point out that both the number of unemployed and the labour force would drop by the same magnitude when some unemployed youngsters stopped seeking jobs and enrolled in the full-time training programmes.
12(c)	Fair. About a third of the candidates were able to state the condition for Ahmed's opportunity cost of continuing seeking jobs to change.
12(d)(i)	Satisfactory.
12(d)(ii)	Fair.

Question Number	Performance in General
13(a)	Fair. Only a small number of candidates were able to explain accurately the effects of economic downturn on both the government's revenue and expenditure. Quite a number of candidates provided rather vague elaborations or failed to relate their elaborations to an economic downturn.
13(b)	Satisfactory.
13(c)	Fair. A majority of candidates were able to correctly identify the economic phenomenon as labour shortage (excess demand for labour). However, some candidates failed to illustrate in the diagram why the minimum wage was ineffective.
13(d)	Poor. With a slightly different question format and a tighter time constraint compared to previous years, quite a number of candidates were unable to organise their answers systematically and logically. <u>How Suggestion I may achieve its objective:</u> The objective of Suggestion I was to 'facilitate the revival of the catering industry by boosting their revenue'. As this part of the question focuses on a single industry (i.e., the catering industry), the demand-supply model in microeconomics should be applied. However, a majority of candidates mistakenly applied the aggregate-demand aggregate-supply model, which is a tool for analysing the effects on macroeconomic variables such as aggregate output, resulting in a poor performance in this part of the question. <u>How Suggestion II may achieve its objective:</u> Most candidates performed quite well in this part of the question. <u>Factors that may limit the effectiveness of the two suggestions:</u> In general, candidates were able to make use of the hint and the given sources to explain how the appreciation of Hong Kong dollar against Renminbi and the increase in interest rate might limit the effectiveness of the two suggestions.

General comments and recommendations

1. Some candidates lacked the acuity to apply economic concepts and models to analyse hypothetical or real-life problems. For example, quite a number of candidates failed to interpret the economic meaning of important hints in data sources. Candidates should strengthen their analytical skills instead of simply regurgitating concepts and theories.
2. Some candidates did not read the questions carefully. Candidates should devote special attention to the assumptions and conditions given in the questions to avoid giving irrelevant answers.
3. Some candidates seemed to have relied too heavily on memorisation of 'model answers' for past exam questions. They appeared to be reflexively recalling these 'model answers' when encountering similar questions without carefully interpreting the questions at hand, thus providing answers which were irrelevant.
4. Some candidates lacked skills to extract information from data sources. Candidates should pay special attention to the headings, labels, and axes as they are essential to our understanding of the data presented therein.

Acknowledgements

The following material has been used in question papers in this volume:

Census and Statistics Department	Government revenue (General Revenue Account and the Funds) https://www.censtatd.gov.hk/en/web_table.html?id=340-47011#
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Census and Statistics Department	Government expenditure (General Revenue Account and the Funds) https://www.censtatd.gov.hk/en/web_table.html?id=340-47012#
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